

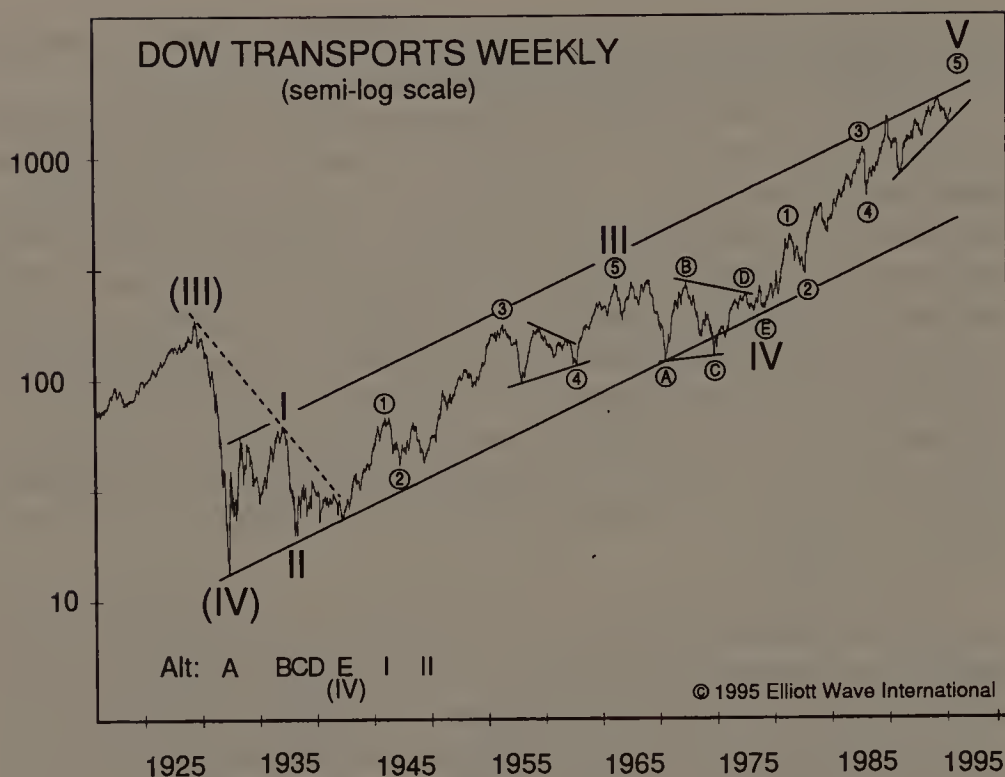


Figure 6-8

Market Psychology

If anyone doubts that the stock market is driven by social psychological forces as opposed to individuals' rational assessment of corporate value, let him study the great case of the Dow Jones Transportation Average. The valuation of the DJTA in the first half of the 1990s joins other great examples of the power of shared social psychology such as the broad swings of the S&P's yield over the decades, the march in the bond/stock yield spread from below 0.4 to above 4.0 in only 38 years, and the valuation of the Japanese stock market on December 31, 1989, to name just a few. When the Dow Jones Transportation Average blew off in 1989, peaking at 1541, it was monstrously overvalued, yielding only 1.3% in dividends. Nevertheless, one could have justified the valuation with rosy linear thinking. In fact, many did. But from 1990 through 1993, DJTA stocks in the aggregate had net operating losses. Airline company health in those years was the worst since commercial service began in the 1920s, as the industry lost \$3.92b. in 1990, \$1.94b. in 1991,